

By **RAJ CHENGAPPA**

MODI'S TWIN CHALLENGES

AT HOME, THE PM HAS TO COME UP WITH BOLD REFORMS TO REV UP A SLOWING ECONOMY AND ENSURE EQUITABLE GROWTH. ABROAD, MODI HAS TO FIND A WAY TO STRIKE A DEAL WITH TRUMP ON HIS TARIFFS AND MIGRATION GROUSES AGAINST INDIA

As **the new year dawns, Prime Minister Narendra Modi** will have to face two challenges with great skill, speed and nerve. The first is on home ground, with the Indian economy yet again buffeted by powerful headwinds. The H1 figures for FY25 show a perturbing slowdown in GDP growth, the Q2 number dropping to a seven-quarter low of 5.4 per cent. Already, rating agencies have shaved off an average of 0.5 percentage points from their earlier optimism of around 7 per cent growth for FY25. India will still be the world's fastest growing major economy, but with a worrying duality. While one half of its citizenry seems to be doing well economically, the other half is lagging miserably behind.

Sector after sector bears out this dichotomy of a K-shaped economic growth. Take passenger traffic in railways, the prime mode of transport for the poor and lower middle class. It has come down from a pre-COVID peak of 8.4 billion in FY19 to 6.8 billion in FY24, indicating decreasing mobility. Similarly, two-wheeler sales have dropped from a high of 21.2 million in FY19 to 17.9 million in FY24. The low sentiment extends to sales of fast-moving consumer goods (FMCG), particularly in urban areas, failing to perk up even in the festive season. The disparities are showing in the real estate market too, where the sales of new houses priced above Rs 1 crore are proceeding briskly while the demand for affordable houses priced at Rs 50 lakh and below is seeing a slump. All of this is being attributed to rising real estate costs, food inflation and slower wage growth for the middle class.

THERE ARE **MANY BULLETS THAT THE MODI REGIME WILL HAVE TO BITE IN 2025** FOR THE COUNTRY TO CLOCK A GROWTH OF 8 PER CENT AND MEET THE WORSENING SKILLS AND JOBS CRISIS

That political parties are wooing the electorate with freebies is another indication of their economic distress. It is a game the ruling Bharatiya Janata Party (BJP) is also playing, despite the PM denouncing the *revdi* culture in the past. In 2023, Modi even extended for another five years the PM Garib Kalyan Anna Yojana, the world's largest free ration scheme with 800 million beneficiaries at a cost of Rs 2 lakh crore a year. But that was not enough to prevent the rude shock he and his party got in the 2024 general election when they failed to secure a simple majority on their own. To his credit, Modi regained the political momentum soon after, as the BJP won the crucial Haryana and Maharashtra polls.

Another two significant assembly polls—in Delhi and in Bihar—will take place in 2025. But their outcome is unlikely to inhibit the PM from taking radical decisions. The upcoming Union budget could be a good opportunity to initiate bold reforms that directly benefit India's poorer half and boost economic growth. In recent weeks, the prime minister and his team have been engaged in discussions with a wide range of experts to boost livelihood op-

Illustration by **NILANJAN DAS**